

Published on: October 18th, 2025



Market Briefs **Pro**

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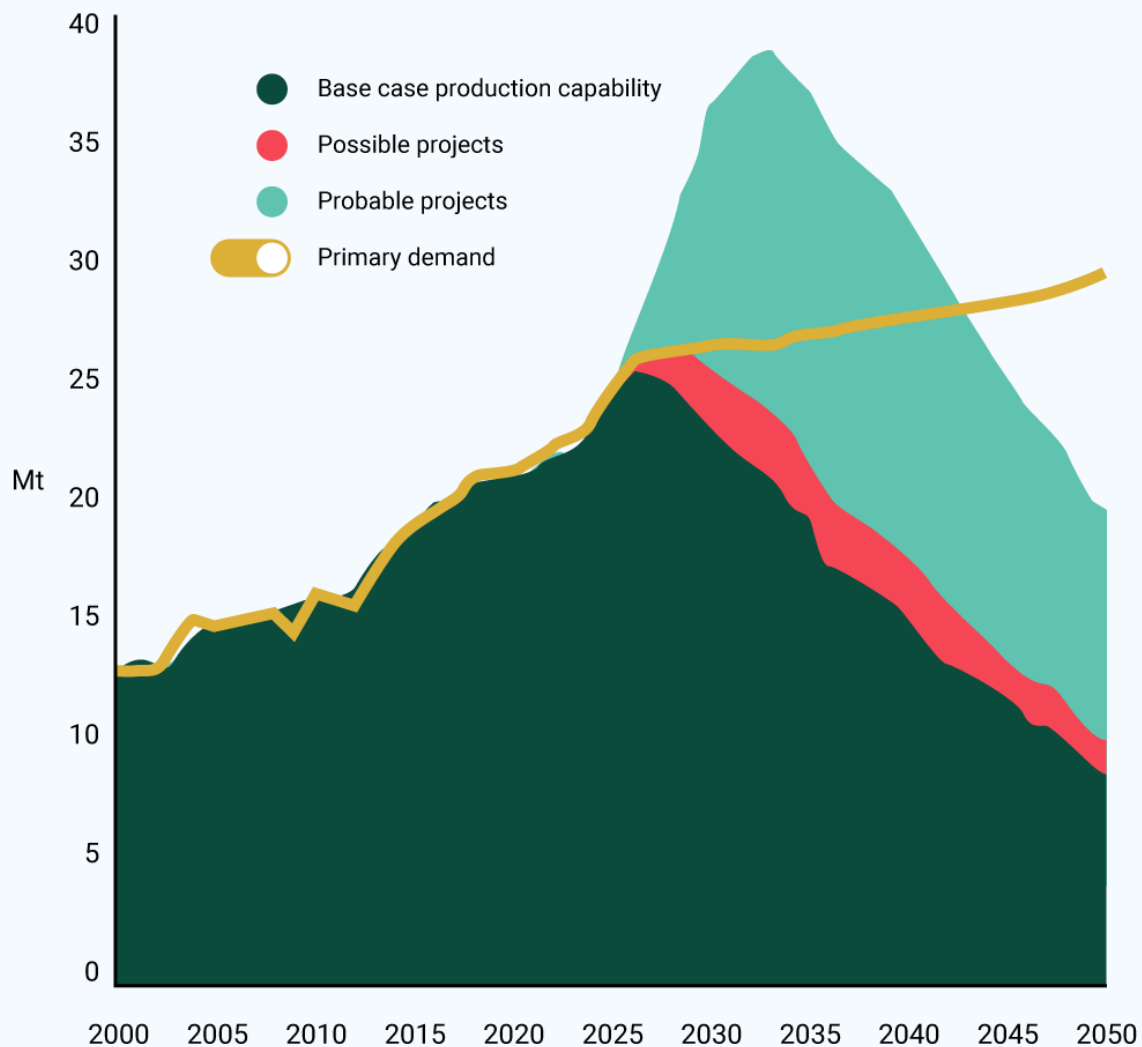
Good morning, Pro Briefers!

Data centers, our power grid, and drones all have one thing in common: They rely on copper.

But there's a problem: *We're running out of copper.*

Our analysts have spoken to a number of mining, minerals, and metals experts over the last six months - all of them agree, a copper shortage is on the horizon.

Global copper production and primary demand



- Minerals are measured in metric tons (Mt) - 1 metric ton is equal to about 2,200 pounds.

While that may sound concerning, it's actually where we have identified a Broad Market Shift:

Before copper shortages begin, investors may be able to take advantage of opportunities in copper producers, copper-reliant products, and higher-risk copper startups.

But why is there a shortage? First off, copper demand is growing, as it's a critical component to most electronics.

- Copper makes up around 20% of the average smartphone's total weight.

That demand is outpacing supply, with the International Copper Study Group estimating that the copper market will hit a 150,000-ton deficit in 2026.

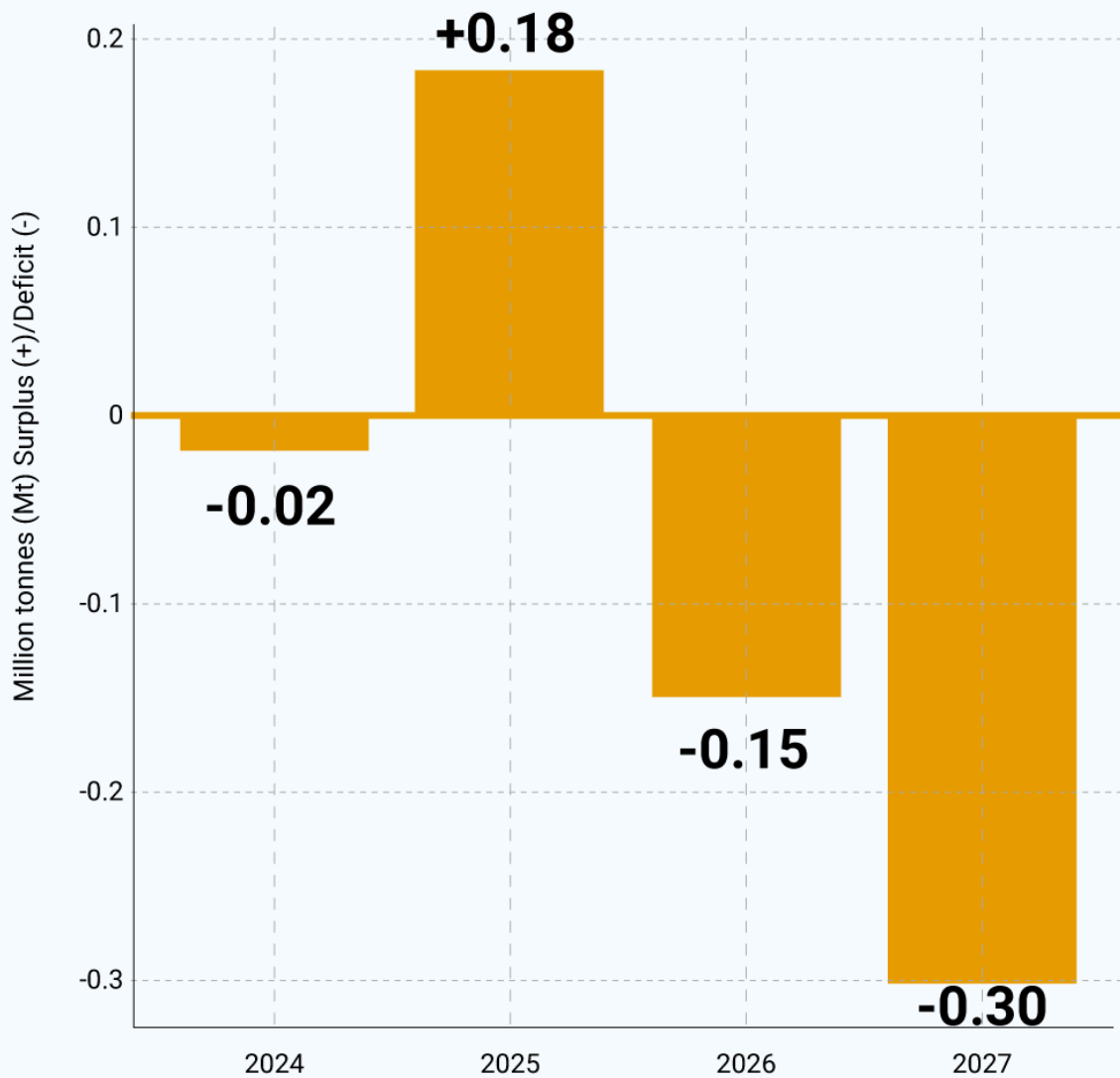
Geopolitical tensions have also sparked issues in the supply of copper. In 2025, the U.S. put a 100% tariff on Chinese imports due to China's restriction of rare earth exports.

- China produces roughly 45% of the world's refined copper.

And, one of the largest copper-producing mines in the world, Cobre Panamá, closed in 2023 due to political turmoil.

ICSG Refined Copper Balance

(Illustrative, Mt)



Lastly, mining copper is also getting a bit rocky - literally. More rocks need to be moved by mining companies in order to get to the copper itself.

This is because of ore degradation, where the copper actually breaks down before it can be mined.

That creates even more bottlenecks in the supply chains for copper, leading to deeper supply constraints.

The opportunity is this: Supply shortages of copper could be coming as soon as the next 12-16 months. However, we are still in the early stages of a shortage right now.

Because of this, copper-related securities are relatively undervalued compared to where they could be in a few years.

That gives investors the chance to potentially profit through buying and holding these securities now, before the shortage hits the mainstream.

Let's discuss what key opportunities investors may want to consider next.

ANALYST REPORT

Tickers we're tracking:

Producers: FCX

Downstream: ETN

ETFs: COPX

PRODUCERS

Leading the Copper Race

The U.S. only produces roughly 6% of the world's supply of copper. But over 60% of the U.S.'s supply of copper is produced by one company: Freeport-McMoRan (FCX).

Freeport-McMoRan has major copper mining installations all throughout the U.S., and is expanding in South America and Indonesia.

Plus, the company has exposure to other metals like gold, which reached a record high of \$4,200 per ounce on October 15th, 2025.

- Copper also reached a record high in April 2025, around \$5.80 per ounce.

But why Freeport-McMoRan? If a copper shortage is in the near future, Freeport-McMoRan will benefit as one of the only major producers of copper.

That's because, despite a shortage, the world will still need copper, and Freeport-McMoRan will be one of the first places investors and institutions look for opportunities as the shortage grows.

Demand for copper and gold has already boosted Freeport-McMoRan's sales as of 2025 - it reported an increase in almost \$1 billion in quarter-over-quarter sales of copper in Q2 of 2025.

Freeport-McMoRan

Q2 2025 Operating Data

	Three Months Ended June 30		Six Months Ended June 30	
	2025	2024	2025	2024
Copper (millions of recoverable pounds)				
Production	963	1,037	1,831	2,122
Sales, excluding purchases	1,016	931	1,888	2,039
Average realized price per pound	\$ 4.54	\$ 4.48	\$ 4.48	\$ 4.25
Site production and delivery costs per pound	\$ 2.71	\$ 2.56	\$ 2.65	\$ 2.43
Unit net cash costs per pound	\$ 1.13	\$ 1.73	\$ 1.56	\$ 1.61
Gold (thousands of recoverable ounces)				
Production	317	443	604	992
Sales	522	361	650	929
Average realized price per ounce	\$ 3,291	\$ 2,299	\$ 3,260	\$ 2,236
Molybdenum (millions of recoverable pounds)				
Production	22	20	45	38
Sales, excluding purchases	22	21	42	41
Average realized price per pound	\$ 21.10	\$ 21.72	\$ 21.37	\$ 21.06

- Its gold production sales increased to \$522 million in Q2 2025, compared to the same quarter in 2024.

Overall, Freeport-McMoRan's total revenue increased to over \$7.5 billion in Q2 2025, a nearly \$1 billion increase compared to the same period in 2024.

2025 has also come with some setbacks for Freeport-McMoRan, too - the company had to shut down one of its mining operations in Indonesia in 2025 due to a mudslide.

Freeport-McMoRan

Q2 Financial Data

	Three Months Ended June 30		Six Months Ended June 30	
	2025	2024	2025	2024
(In millions, except per share amounts)				
Revenues	\$ 7,582	\$ 6,624	\$ 13,310	\$ 12,945
Operating income	\$ 2,432	\$ 2,049	\$ 3,735	\$ 3,683
Net income attributable to common stock	\$ 772	\$ 616	\$ 1,124	\$ 1,089
Diluted net income per share of common stock	\$ 0.53	\$ 0.42	\$ 0.77	\$ 0.75
Diluted weighted-average common shares outstanding	1,443	1,445	1,444	1,445
Operating cash flows	\$ 2,195	\$ 1,956	\$ 3,253	\$ 3,852
Capital expenditures	\$ 1,261	\$ 1,116	\$ 2,433	\$ 2,370
At June 30:				
Cash and cash equivalents	\$ 4,490	\$ 5,273	\$ 4,490	\$ 5,273
Total debt, including current portion	\$ 9,251	\$ 9,426	\$ 9,251	\$ 9,426

Data [via](#) Freeport McMoRan 10-K

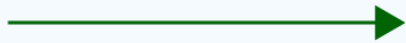
After the event, shares of the company fell by more than 22%.

This tragedy led to lives being lost and all contracted workers at the facility without pay.

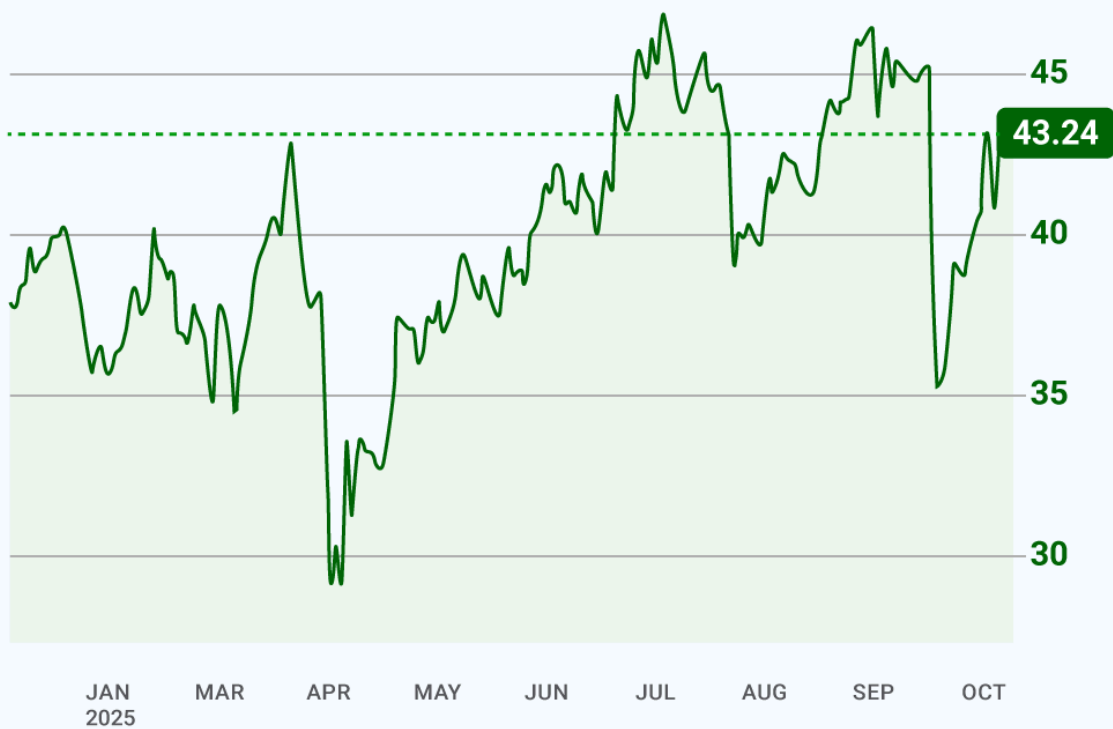
It also strengthened the world's reliance on Freeport-McMoRan for copper.

Freeport-McMoRan Inc. (FCX)

YTD Price



43.24
(13.30%)



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Data [via](#) Yahoo! Finance

That's because the closure of its mine in Indonesia means less copper production worldwide, but without other major players to pick up the slack, institutions are still turning to Freeport-McMoRan for copper.

As of October 14th, 2025, Freeport-McMoRan has mostly recovered from its drop.

We believe it will have a larger growth acceleration as supply shortages of copper worsen in the coming years.

DOWNSTREAM

The Power of Copper

Naturally, if there's less copper in the world, then it will be more difficult for companies to buy the copper they need to put in the products they sell.

This will cause two things to happen:

1. Prices for products (particularly electronics) will go up.
2. Costs to produce those products will go up.

At first, it might sound like those things will offset one another. But the opportunity here lies in products that are considered critical.

In short - companies that produce critical components for our infrastructure, like our power grid, that require copper to function may still benefit from a copper shortage.

Eaton Corporation (ETN) is a major supplier to our nation's power grid, creating transformers and other copper-dependent power grid products.

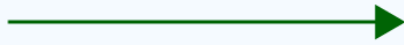
Flashback. In 2022, the U.S. began major renovations of our nation's power grid due to the passing of the \$739 billion Inflation Reduction Act (IRA).

Flash forward. In 2025, President Trump's One Big Beautiful Bill Act repealed many of the measures of the IRA.

In short, states have largely been left to fund the improvements to the power grid themselves.

Eaton Corporation plc (ETN)

YTD Price



378.72
(14.12%)



Image [via](#) Yahoo! Finance

In addition, demand for AI and data centers is growing, which means our power grid will need even more advanced upgrades in the future.

That positions Eaton to benefit not only from our rising power grid needs, but also from a shortage of copper.

From transformers to switchgears, Eaton creates products that are heavily reliant on copper - those products are also crucial for AI infrastructure and data centers.

Eaton also has a long backlog of orders for its products, which stretches beyond its current inventory. That helps it to reliably predict revenue in the long-term.

All of this has helped Eaton to maintain strong financials in 2025, raising its earnings per share (EPS) and organic sales full-year guidance.

- Eaton earned nearly \$25 billion in revenue in 2024, a 7% increase from 2023.

Shares this year have grown in line with the S&P 500, but our analysts project they will begin to outpace the benchmark as copper supply dwindles in the future.

This makes Eaton Corporation a prime potential opportunity for investors, as demand for products that are critical and contain copper, grows.

ETFS

Additional Exposure to Copper

The biggest takeaway from this shift is that more demand for copper + less copper available = opportunities for investors.

And while this will shift the market for the largest players in the industry, *it's going to shift the entire market.*

Freeport-McMoRan will benefit, but so will smaller, not-as-established names in the copper mining space, many that have a lot of room to grow as a shortage persists.

The issue: Many of the small copper mining names are not easily accessible to American investors, and because of their size, are more volatile than the stable giants.

An ETF like the Global X Copper Miners ETF (COPX) gives investors exposure to the global copper mining industry and some of those typically inaccessible players all at once.

Global X Copper Miners ETF (COPX) top 10 holdings

Top Holdings As of Oct 08 2025

Net Assets (%)	Ticker	Name	SEDOL	Market Price (\$)	Shares Held	Market Value (\$)
5.48	2899HK	ZIJIN MINING-H	6725299	4.33	42,492,835	183,786,445.93
5.46	LUN CN	LUNDIN MINING CORP	2866857	15.06	12,161,469	183,175,854.04
5.44	HBM CN	HUDBAY MINERALS INC	B05BDX1	16.58	11,012,950	182,637,683.18
5.28	FM CN	FIRST QUANTUM	2347608	22.69	7,811,768	177,216,701.08
4.87	ANTO LN	ANTOFAGASTA PLC	0045614	35.83	4,565,032	163,559,612.79
4.73	KGH PW	KGHM POLSKA MIEDZ SA	5263251	51.04	3,108,763	158,679,258.25
4.70	5713 JP	SUMITOMO MET MIN	6858849	32.92	4,789,899	157,683,613.34
4.15	CS CN	CAPSTONE COPPER CORP	BMV5XY9	9.08	15,346,876	139,372,508.28
4.15	SCCO	SOUTHERN COPPER CORP	2823777	125.10	1,112,769	139,207,345.83
4.12	BOL SS	BOLIDEN AB	BPYTZ57	42.35	3,264,368	138,252,357.10

Why? This ETF tracks the Solactive Global Copper Miners Total Return Index and is strongly weighted by emerging market opportunities, which we believe to be on the rise.

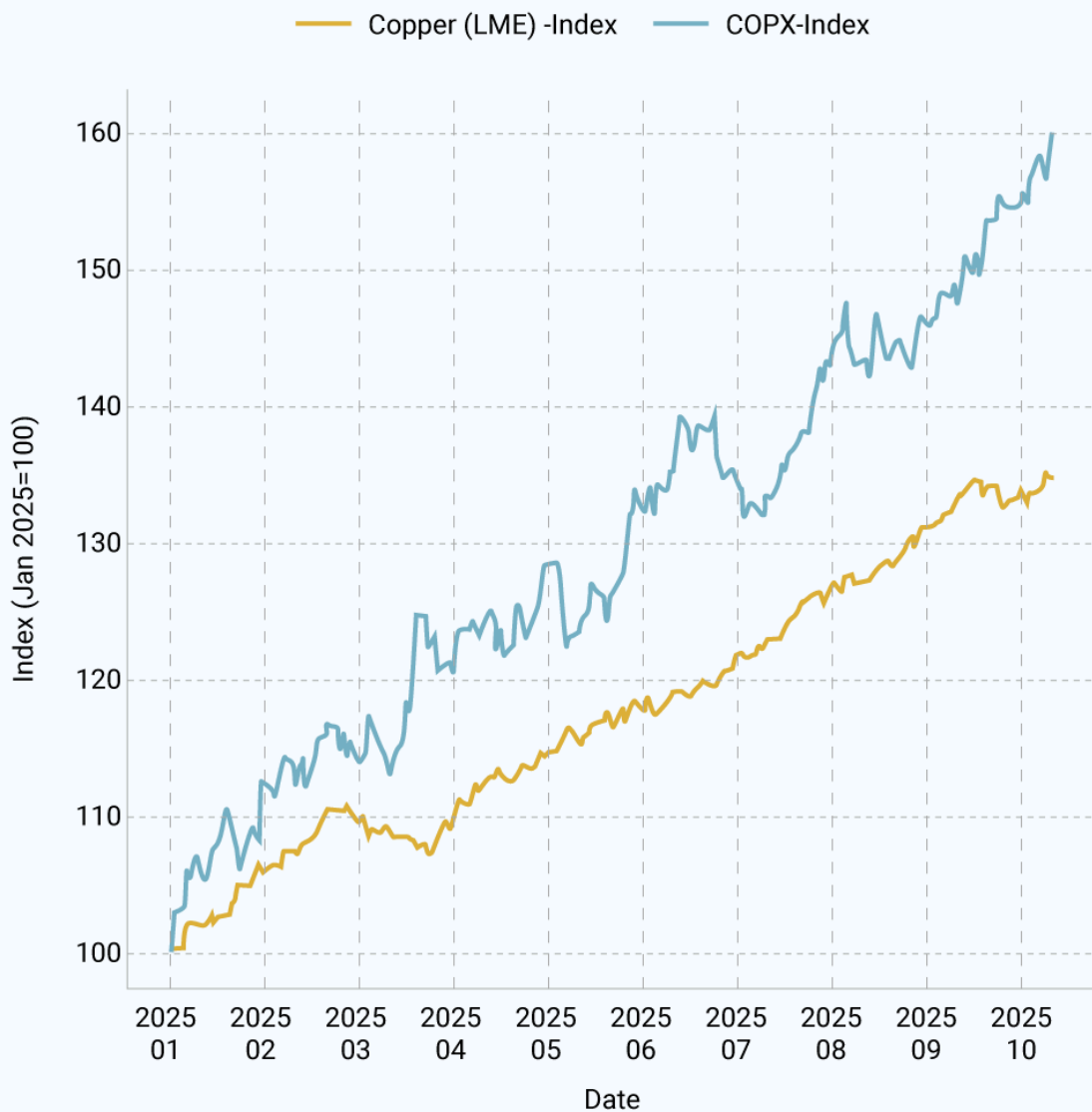
Containing 39 companies, the ETF has both global leaders in copper mining, like ZIJIN, and smaller growth opportunities like Luca Mining Corp.

- Each holding is fairly even among the 39 companies - diversification reduces risk.

Here, you are investing primarily in the companies that actually mine copper, with the majority being located in either China or Canada.

Copper VS COPX 2025 YTD

(Illustrative, 2025 YTD, Jan= 100)

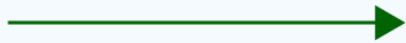


The ETF's recent history also shows the recent interest in copper miners among investors.

It's up over 62% YTD as of October 14th, 2025, after getting caught in a 10-month bear run that ended in early August 2025.

Global X Copper Miners ETF (COPX)

1 Year Price



63.85
(36.55%)



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Data [via](#) Yahoo! Finance

- The ETF has also grown by 70% in the last six months.

By all accounts, it's outpacing the S&P 500 as of October 2025, which has increased by only around 13% YTD by October 14th, 2025.

We expect strong upswings alongside issues in the global copper supply, and flat periods between.

Keep in mind though, that this is more of a long-term play, as the ETFs' real growth won't kick in until the global supply of copper tightens even more.

RISKS

Copper Problems

Geopolitical risks, specifically from China, are the biggest issue for investors who want to take advantage of this shift.

China is the biggest user and producer of copper in the world - if stimulus or trade volatility hits China, it could slow demand to stretch out our current supply.

Less mining could then lead to lower revenues for copper mining companies and lower returns for investors.

Other trade shifts could also put a damper on the global copper market. Raw copper imported into the U.S. is exempt from additional tariffs as of August 1st, 2025.

Many products that contain copper are not though. Semi-finished and intensive copper products (like pipes where copper is the main component) have a 50% import tariff rate from the U.S. as of 8/1/25.

Tariffs on the production could limit supply further, impacting the bottom line of several copper companies and other brands that use it for their products.

There's also one other risk - a change in copper demand. Currently, there are no alternatives to copper, but that could change.

Copper is used because it is an exceptional electrical conductor and not as corrosive as some other metals.

But our need for other products may push scientists and institutions to try other types of metal alternatives as copper becomes scarce.

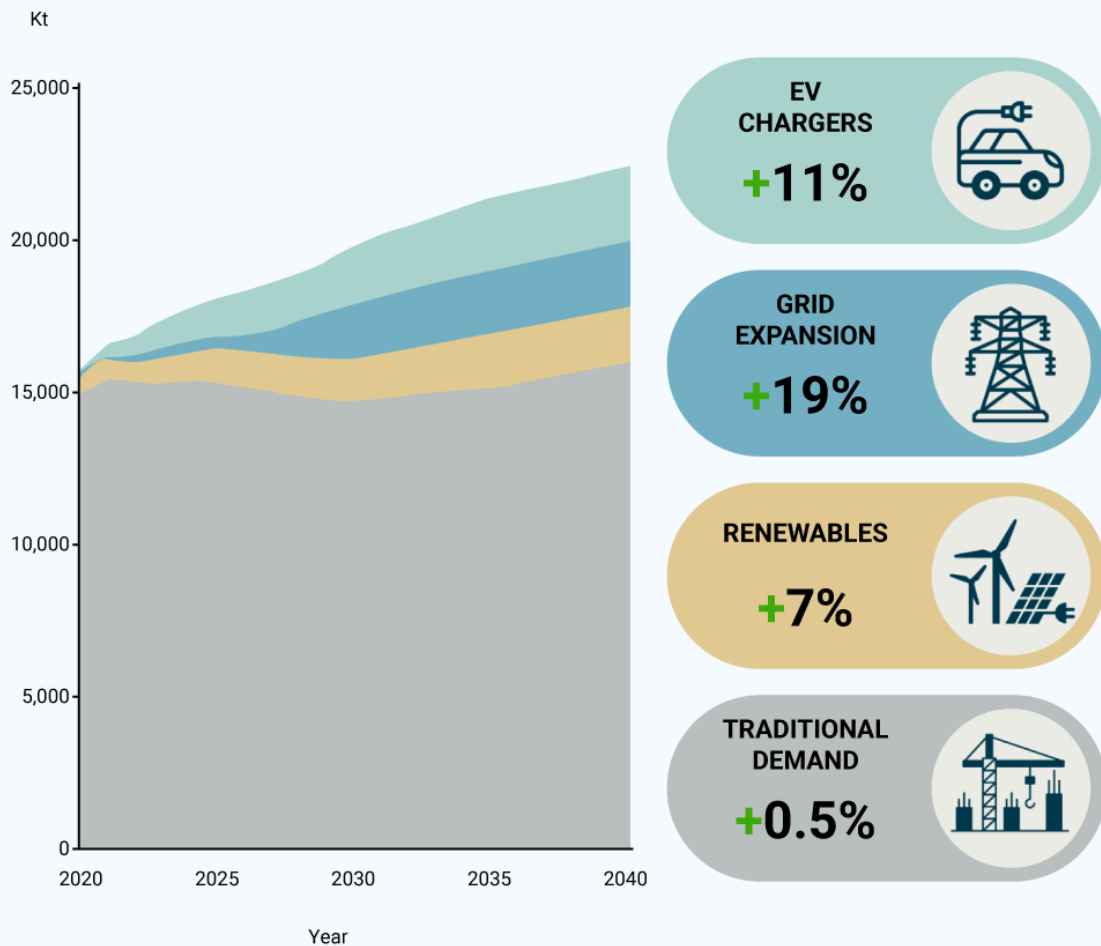
REVIEW

Future Paved in Copper

So much of what we use everyday relies on copper - but experts agree we're going to run into shortages within the next few years.

Once again, investors should keep in mind that this is a long-term investment play. As of October 2025, we are not in a major copper shortage.

Copper cable demand: green vs traditional applications



But once it's clear that a global shortage of copper is coming, institutions and investors will be quick to jump into the major players and growing startups in the copper industry.

That will make the producers and critical users of copper essential within the industry, presenting a unique opportunity for investors.

Our strategy is to benefit from whatever happens - big movements will shift the entire industry, even for players like Eaton and Freeport-McMoRan.

But even small shifts in demand, prices, or supply will shake things up, which is why having global exposure to the copper industry through COPX could also help investors to profit.

In the end, patience with this shift is key, and investors who are willing to wait may see a long-term boost to their portfolio within the next few years.



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